

₹25,000 crore or 13 million units after growing 8-10% between 2010 and 2019. It sank in 2020 and perked up in 2022 on the back of premium models. The TV market shrank to 12 million units in 2023 from 15 million in 2019.

The story is different for home air-conditioners. Although ACs are considered expensive consumer goods that add to electricity bills, the market is surging, helped by the low household penetration of only 7%. (While some 80% of the households have TVs, household penetration of refrigerators is about 33%.)

Industry veterans such as Nandi and B. Thiagarajan, MD of AC major Blue Star, say sales are growing at 20-30% this summer.

A WIDESPREAD CRISIS

Daily essentials such as branded packaged foods and personal care items are also feeling the chill. Take India's branded FMCG market, valued at ₹5 lakh crore and ranked the world's fourth largest. With consumers spending less, the volume offtake has continuously fallen since early 2022. While offtake in urban markets had slowed significantly in recent quarters, the steep decline in the rural market was a drag on overall growth. Between the March and December quarters of 2022, FMCG volumes in the rural market had shrunk by 6-10%

every quarter. Rural India, which has nearly 70% of India's population, accounts for 36% of FMCG sales. While rural consumption has shown signs of recovery since 2023, most leading FMCG players remain "cautiously optimistic".

Hindustan Unilever Ltd (HUL), the country's largest FMCG firm, reported a 5.7% drop in its net profit in the March quarter to ₹2,406 crore, while revenue stood almost flat at ₹14,693 crore. HUL has been marking up prices during the past two years to offset the faltering volume offtake. Now, it is passing on the benefits of lower commodity prices, either by reducing MRP or increasing pack size. This impacted its top-line growth not only for the quarter but for FY24. While its revenue for the year was ₹59,579 crore, or 2% higher than the ₹58,154 crore it had posted in FY23, its net profit margin of 16.73% was the lowest since FY19, the year before the pandemic.

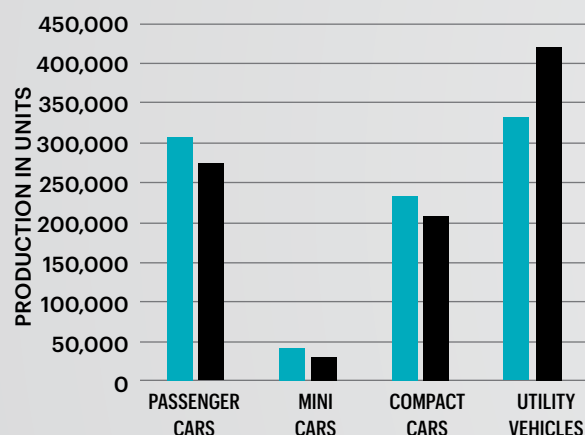
Rohit Jawa, CEO & MD of HUL, notes that rural consumption is recovering, but urban has been more resilient, especially at the premium level. "Over the last few years, because the inflation or price increases are quite sizeable, they had an impact on rural," Jawa said in a post-earnings call in April.

He said that, in FY24, "volume recovery remained gradual due to high levels of cumulative inflation over the past few years, coupled with a weak monsoon affecting rural demand. Urban, organised trade and premium

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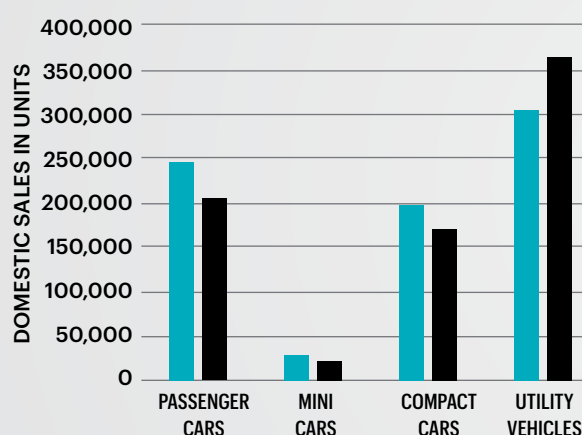
NO TAKERS FOR SMALL CARS

- Costlier SUVs are in high demand, growing at 19.4% YoY in April-May; they have captured nearly 64% of the passenger vehicles market in India
- Small cars are de-growing as demand from rural households remain muted, as two-wheeler users postpone upgrade



● APRIL-MAY 2023 ● APRIL-MAY 2024

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